

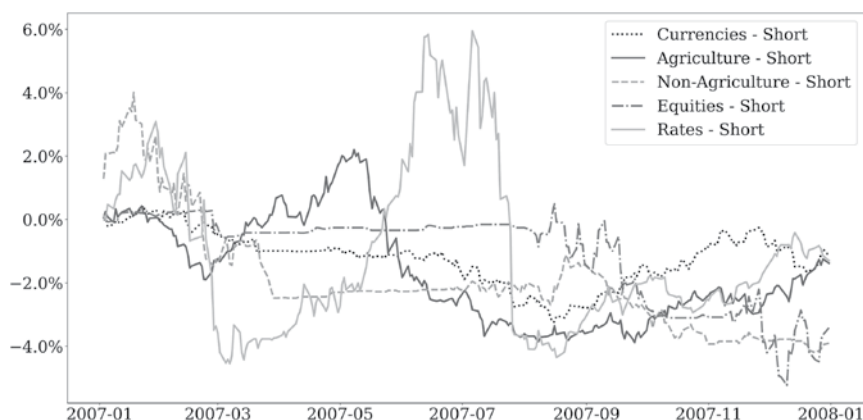


FIGURE 6.35 Short sector performance 2007.

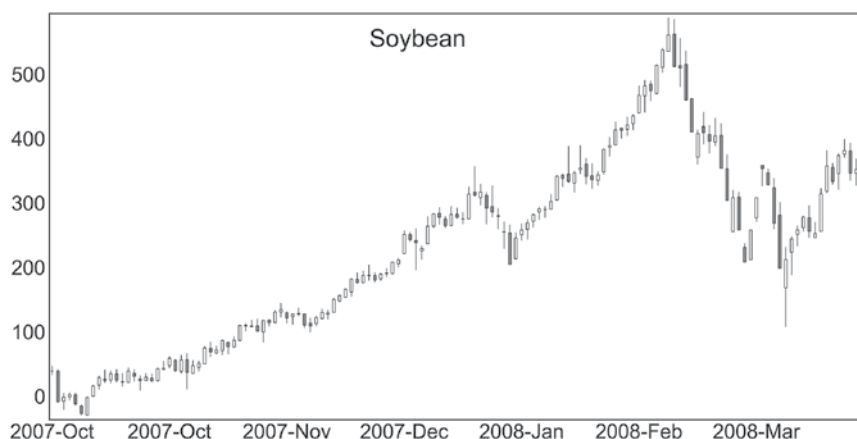


FIGURE 6.36 Soybean rally of 2007.

one of several positions which greatly helped in our dire situation. We saw a solid bull market trend, taking off in October and powering on fall the way into February of 2008.

Once again, we see that the gains were on the long side of the portfolio and the losses on the short side (Table 6.23). Why do we even bother trading the short side? Why don't we just tweak the model and remove the shorts all together? Those are questions which not only you, but also your investors, will start asking. While I have seen successful trend followers who only trade the long side, they are missing some of the really big values in this type of approach. Just trust me for now.